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Inside the Chakravyuh

The Process behind Monetary Policy Formulation

The Reserve Bank is a ‘full service’ central bank with a wide mandate; setting monetary policy is only one of its many responsibilities. Nevertheless, it is monetary policy that is the most glamorous—it gets the maximum public attention and media coverage. With growth in numbers of people shifting from the informal to the formal sector of the economy, has also come a growth in the number of people interested in the Reserve Bank’s monetary policy. Millions of households which have taken housing loans have a stake in how the Reserve Bank sets interest rates. This interest is no longer restricted to the English-language media; the vernacular media too has joined in, thus extending the outreach to hundreds of millions.

This increasing awareness of the Reserve Bank’s monetary policy is certainly a force for the good. But there is still quite some way to go. My experience from speaking to ordinary people during my travels across the country was that while most people were aware that the Reserve Bank’s setting of the interest rate made a difference to their finances, they did not understand how exactly that happened.

Quite early in my tenure, I realized that explaining to the larger public how the Reserve Bank’s monetary policy influences their finances and, therefore, their daily lives, has to be an important part of my job chart. It is only when there is wider awareness of what the Reserve Bank does can the larger public hold it accountable for its performance. In my efforts at outreach, I did not confine myself to a uniform format or any specific forum. I spoke about the impact of the Reserve Bank’s policies on people’s